

Equity Strategy

Q2 Earnings Preview - robust corporate profits to offer support to the market

- Our bullish [2026](#) view had strong earnings outlook as one of the key drivers, contrasting with the stance by many that consensus expectations entering the year were too high. Despite the spike in geopolitical uncertainty in Q2, **it is encouraging that 2026 EPS projections kept moving higher**, something which is seen in all regions, and is not solely the result of IT and Energy. In fact, the majority of sectors in MSCI AC World have seen net upgrades ytd. **Iran conflict is flaring up again, but we think one keeps using the dips driven by this to add**, the same stance we had since 2nd half of March.
- We remain constructive on earnings delivery through 2H, on improving activity driving better topline growth, and positive operating leverage, resulting in resilient profit margins. In terms of market internals, **we believe rotation and broadening in leadership is underway**, from what was an extremely narrow participation in Q2, **and that it will likely have legs** – see [July Chartbook](#). This naturally leads to bouts of increased volatility, **but it should not result in prolonged market selloffs**, in our view, especially if earnings backdrop remains resilient.
- Now, Q2 earnings growth projections by consensus appear punchy at face value, in both the US and in Eurozone, at 22% and 12% yoy growth rates, respectively. Importantly, unlike typically when the hurdle rate moves lower ahead of the reporting season, making it easier to beat as results come out, **this time around there were no net downgrades, but continued increases in forecasts** – top chart.
- **We do not believe this is necessarily a red flag**. Beneath the surface, while the upward revisions are broader than one would think, still, many sectors which are generally viewed to be under pressure have indeed seen the typical downgrades. **Median Q2 EPS growth projections stand at 8% for both US and for Eurozone, which we believe is very achievable**.
- Also, **activity has been improving of late**, as seen in the acceleration in the OECD lead indicator, and in a big move higher in Eurozone CESI, of 85+ points, entering net positive territory, a continued improvement in Eurozone credit growth and resilient US jobless claims. Big picture, **macro indicators remain consistent with further earnings upside, and this is especially for Cyclical sectors** – see middle chart.
- **Eurozone EPS revisions have been rising in the past weeks, moving into outright positive territory**. The gap with the US has narrowed, on the brink of fully closing for the first time since early 2025 - bottom chart. Provided the Iran conflict doesn't fully re-escalate in 2H, we think this improvement can continue, and expect Eurozone to show strong double digit EPS growth this year, in contrast to the stagnation that took place since 2022.
- **At the sector level**, Banks are likely to deliver reassuring results, and we note that **Semis price relative and earnings are opening up a gap, where strong results could drive a rebound in the space**. Energy earnings relative does not show any cushion vs oil price anymore. Consumer sectors likely remain mixed, but we believe that the market could look through this, expecting an inflection point; see our recent more positive take on [Consumer Cyclical for 2H](#).

Equity Strategy

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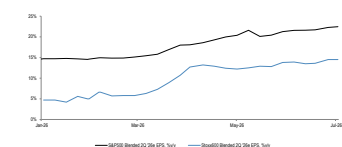
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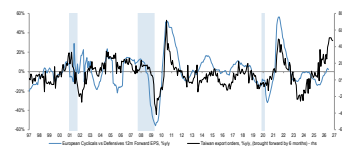
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In contrast to typical, where hurdle rate eases ahead of the results, this time around net consensus projections moved higher...



...we remain optimistic over profits delivery, and believe Cyclical will do better, as lead indicators point to further upside...



...notably, Eurozone earnings revisions have moved into outright positive territory of late, offering support to the region



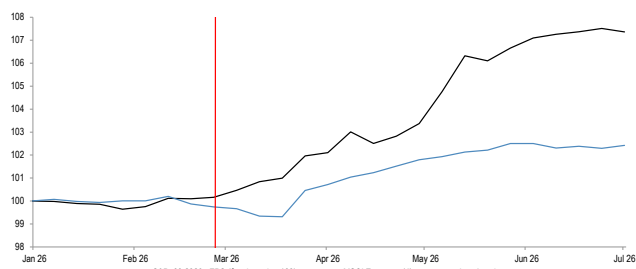
Source: J.P. Morgan, Bloomberg Finance L.P., Datastream

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Q2 Earnings Preview - robust corporate profits to offer support to the market

Figure 1: S&P500 and MSCI Eurozone 2026e EPS levels



Source: IBES

In our bullish [2026 Year Ahead](#) view, a strong earnings outlook was one of the main supports. This went against the view of many investors who thought consensus earnings expectations going into the year were too high. Even with the jump in geopolitical uncertainty in the second quarter, it is a positive sign that 2026 EPS forecasts are rising across all regions. S&P500 2026 EPS estimates are up about 7% since the start of the year, while European estimates are up around 2.5%.

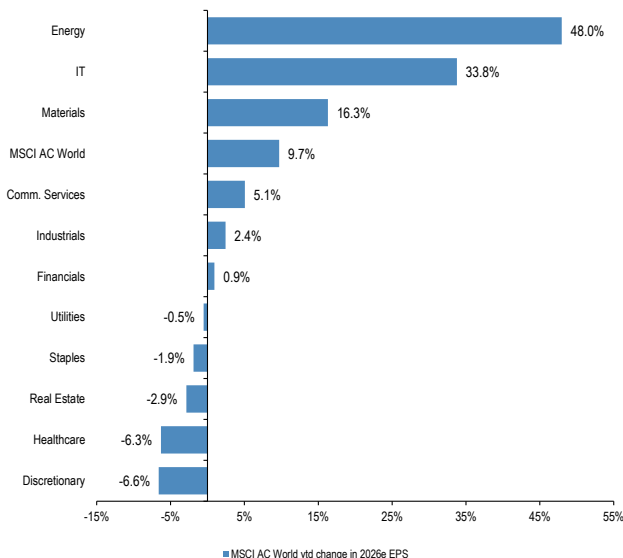
Table 1: MSCI Europe sectors EPS revisions change since Jan '26

EPS Revisions	Current	Jan '26	Change
MSCI Europe	11%	-4%	15%
Energy	15%	-27%	43%
Materials	33%	-24%	57%
Industrials	21%	-1%	22%
Discretionary	-29%	-33%	4%
Staples	11%	-47%	59%
Healthcare	-14%	-16%	2%
Financials	28%	39%	-12%
IT	18%	25%	-7%
Telecoms	-14%	-9%	-5%
Utilities	12%	8%	4%
Real Estate	10%	-18%	28%

Source: IBES

The breadth of earnings upgrades is notable. In MSCI Europe, approximately 70% of Level 1 sectors have seen net positive EPS revisions year-to-date, compared to around 70% in the US and 60% in Japan.

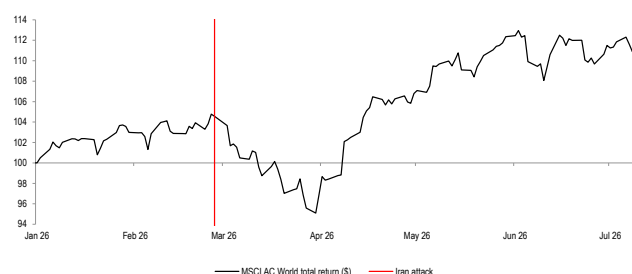
Figure 2: MSCI AC World sectors ytd change in 2026e EPS



Source: IBES

Importantly, even sectors that many see as under pressure, such as Consumer Discretionary, have not had the large downgrades that the market narrative might imply. Estimates were trimmed somewhat, but the reductions were small compared with past cycles.

Figure 3: MSCI AC World ytd



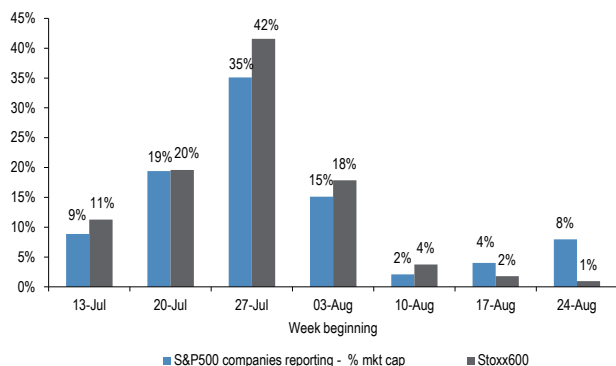
Source: Datastream

The Iran conflict remains volatile, but we continue to believe that investors should use the dips driven by geopolitical headlines to add exposure, the same stance we have held since the second half of March. We believe the market has become increasingly adept at pricing geopolitical risk as transitory, particularly as there remain strong incentives on both sides to de-escalate.

The key risk, of course, is a sustained escalation that disrupts oil supply or triggers a broader regional conflict. However, our base case remains that the geopolitical backdrop improves in 2H.

Q2 earnings projections appear punchy, but this is not a red flag

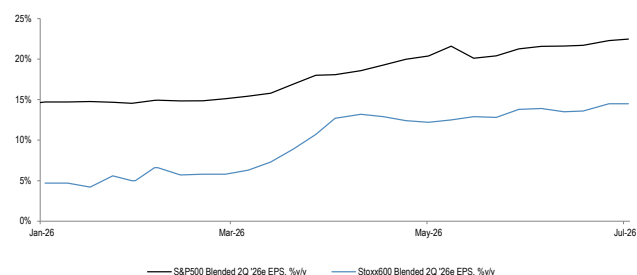
Figure 4: 2Q '26 Earnings reporting calendar



Source: Bloomberg Finance L.P.

We are entering the Q2 earnings season, with the majority of US and European companies set to report their results in the next few weeks.

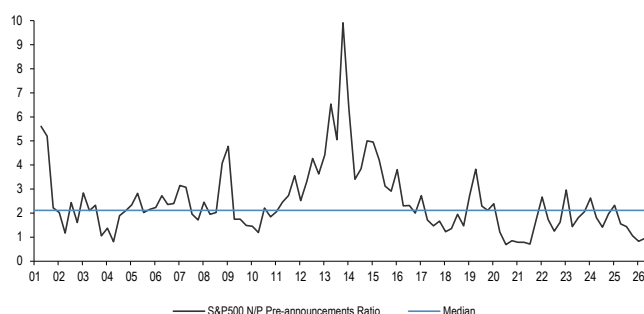
Figure 5: S&P500 and Stoxx600 Blended 2Q '26e EPS growth



Source: Thomson Reuters

Unlike typical pre-reporting-season patterns where estimates are walked down ahead of results, this cycle has seen continued upward revisions. We believe this reflects genuine fundamental improvement, particularly in Europe where fiscal impulses, improving credit conditions, and a stabilizing China have supported earnings power.

Figure 6: S&P500 Negative/Positive Pre-announcements ratio

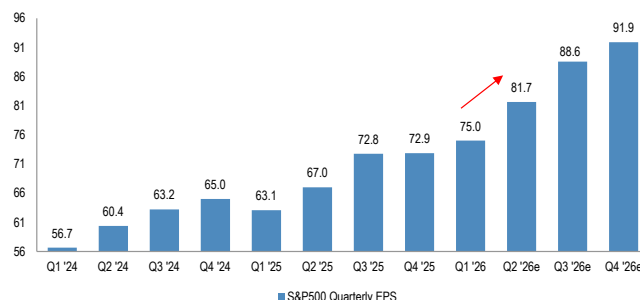


Source: Thomson Reuters

Negative pre-announcements are well below typical. We do not believe this is necessarily a red flag. The upward drift in estimates reflects the fundamental improvement in economic

activity that became evident through Q2, particularly in Europe where the manufacturing recovery remained resilient despite geopolitical headwinds. We believe the rising estimates ahead of the current reporting season could potentially reflect genuine improvements in corporate fundamentals rather than analyst complacency.

Figure 7: S&P500 Quarterly EPS since Q1' 24



Source: Thomson Reuters

The S&P500 Q2 EPS forecast of \$81.7 represents a meaningful step up from the \$75 delivered in Q1.

Table 2: S&P500 Quarterly Earnings Seasonality

	1Q	2Q	3Q	4Q	2Q vs 1Q
2010	19.7	21.5	21.8	22.6	9.1%
2011	23.5	24.1	25.7	24.6	2.6%
2012	25.6	25.8	26.0	26.3	0.8%
2013	26.7	27.4	27.6	28.6	2.6%
2014	28.2	30.1	30.0	30.5	6.7%
2015	28.6	30.1	30.0	29.5	5.2%
2016	27.0	29.6	31.2	31.3	9.6%
2017	30.9	32.6	33.5	36.0	5.5%
2018	38.1	41.0	42.7	41.2	7.6%
2019	39.2	41.3	42.1	42.0	5.4%
2020	33.1	28.0	38.7	42.6	-15.4%
2021	49.1	52.6	53.7	54.0	7.1%
2022	54.8	57.6	56.0	53.2	5.1%
2023	53.1	54.3	58.4	57.2	2.3%
2024	56.6	60.4	63.2	65.0	6.8%
2025	63.1	67.0	72.8	72.9	6.2%
Average					4.2%
Median					5.4%
2026e	75.0	81.7	88.6	91.9	8.8%

Source: Thomson Reuters

Some of this can be attributed to seasonality. Historically, Q2 EPS is usually 4% higher than the delivery in Q1.

Table 3: 2Q '26e EPS growth expectations

	Q2 '26e EPS growth, %y/y			
	US	Europe	Eurozone	Japan
Energy	122%	113%	97%	39%
Materials	29%	39%	30%	19%
Industrials	5%	12%	10%	11%
Discretionary	5%	5%	6%	22%
Staples	6%	11%	9%	22%
Health Care	-18%	-6%	4%	0%
Financials	8%	2%	0%	13%
IT	63%	13%	18%	18%
Com. Services	8%	7%	13%	10%
Utilities	15%	2%	7%	-35%
Real Estate	0%	6%	1%	0%
Market	22%	12%	12%	12%
Market Ex-Financials	26%	20%	21%	13%
Market Ex-Energy	18%	4%	5%	12%
Cyclicals	38%	13%	12%	16%
Defensives	-2%	-1%	7%	2%

Source: IBES, J.P.Morgan

At first glance, consensus Q2 earnings growth projections look high, with the US at roughly 22% y/y and the Eurozone at around 12% y/y.

Table 4: 2Q '26e Median EPS Growth expectations

	Q2 '26e Median EPS growth, %y/y			
	US	Europe	Eurozone	Japan
Energy	107%	99%	98%	10%
Materials	5%	21%	23%	25%
Industrials	6%	12%	11%	15%
Discretionary	4%	4%	10%	8%
Staples	8%	6%	2%	5%
Health Care	4%	2%	6%	6%
Financials	8%	4%	5%	12%
IT	25%	6%	14%	16%
Com. Services	4%	6%	7%	12%
Utilities	12%	4%	7%	-48%
Real Estate	-7%	21%	9%	9%
Market	8%	9%	8%	11%
Cyclicals	8%	11%	11%	13%
Defensives	8%	6%	7%	4%

Source: IBES, J.P.Morgan

We believe this is achievable and broadly consistent with the macro backdrop. Median EPS growth projections at 8-9% are much more realistic. The gap between market-cap weighted and median figures is driven by a handful of large-cap names in IT (AI-related earnings step-up) and Energy (base effects from lower oil in Q2 2025), rather than reflecting overly aggressive assumptions across the board.

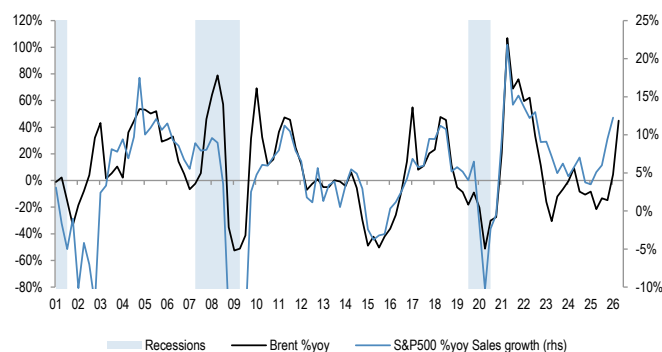
Table 5: 2Q '26e Median Sales growth expectations

	Q2'26e Median Sales growth, %y/y			
	US	Europe	Eurozone	Japan
Energy	15%	37%	29%	20%
Materials	5%	5%	3%	10%
Industrials	6%	6%	5%	8%
Discretionary	6%	2%	2%	6%
Staples	3%	5%	5%	5%
Health Care	5%	6%	5%	7%
Financials	8%	6%	6%	0%
IT	16%	7%	11%	10%
Com. Services	8%	1%	1%	7%
Utilities	5%	3%	2%	3%
Real Estate	4%	6%	5%	19%
Market	7%	6%	5%	8%
Cyclicals	8%	6%	5%	8%
Defensives	5%	4%	2%	6%

Source: IBES, J.P.Morgan

Topline growth is projected at 7% and 5% for US and Europe, respectively.

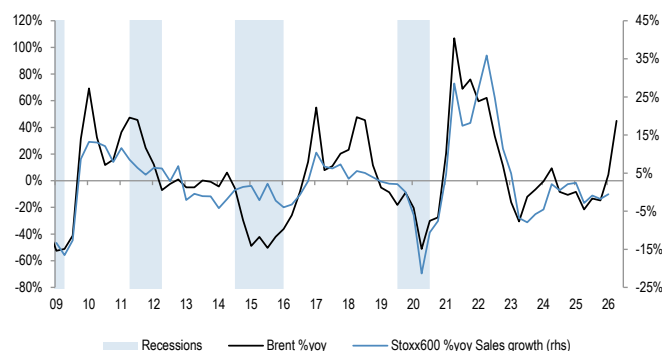
Figure 8: Brent vs S&P500 sales growth



Source: Bloomberg Finance L.P., S&P Global

Historically, higher oil prices have been consistent with strong topline delivery.

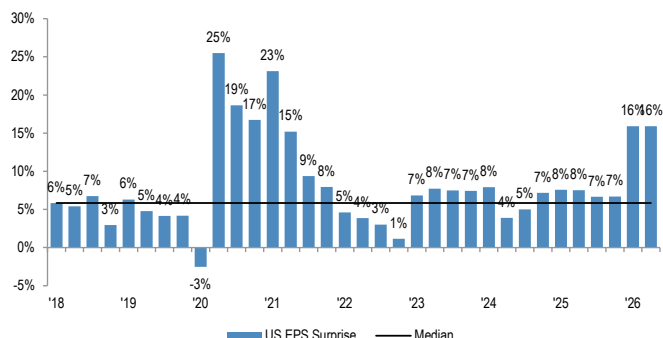
Figure 9: Stoxx600 Sales growth and Brent



Source: Bloomberg Finance L.P., J.P. Morgan

This is true in Europe, as well.

Figure 10: S&P Quarterly EPS surprise



Source: Thomson Reuters

Historically, S&P 500 companies have exceeded consensus EPS estimates by roughly 5–6% on average over the past decade. While we still expect the earnings environment to be broadly supportive, we recognize that the magnitude of beats may fall short of the exceptional results delivered during the Q1 reporting season.

Activity indicators remain consistent with further earnings upside

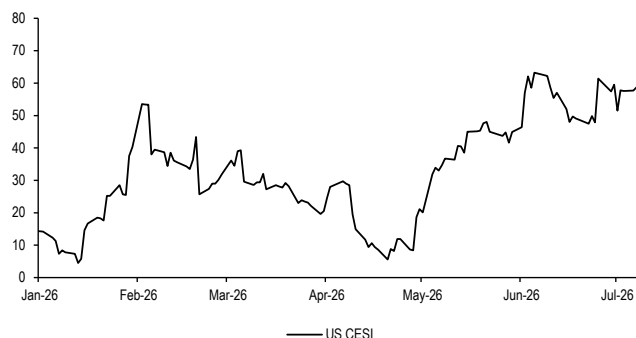
Table 6: Key global activity indicators

	1Q '25	2Q '25	3Q '25	4Q '25	1Q '26	2Q '26
Real GDP, % oya						
US	2.0%	2.1%	2.3%	2.0%	2.7%	2.3%
Euro Area	1.7%	1.6%	1.4%	1.2%	0.3%	0.3%
Japan	1.5%	1.8%	0.5%	0.4%	0.3%	0.2%
EM	4.4%	4.4%		4.2%	4.3%	4.2%
IP, % oya						
US	0.0%	0.3%	1.6%	1.3%	0.7%	1.2%
Euro Area	2.1%	1.4%	1.4%	1.9%	-1.7%	-0.3%
Japan	2.8%	0.1%	-1.2%	-1.3%	1.2%	2.0%
PMI Composite						
US	52.6	52.2	54.5	53.8	51.7	51.8
Euro Area	50.4	50.4	51.0	52.3	51.3	49.1
Japan	50.7	51.0	51.6	51.5	53.3	52.0
EM	52.3	51.5	52.4	52.3	52.9	53.1
German IFO	84.1	86.8	87.9	87.4	87.6	85.8
CPI, % oya						
US	2.7%	2.5%	2.9%	2.8%	2.7%	
Euro Area	2.3%	2.0%	2.1%	2.1%	2.0%	3.0%
Japan	3.8%	3.5%	2.9%	2.7%	1.4%	1.4%
EM	3.2%	3.1%	2.7%	2.8%	3.1%	3.5%
Consumer Sentiment						
US	64.5	55.0	58.3	52.5	55.4	48.0
Euro Area	-12.7	-14.1	-13.6	-12.9	-13.7	-19.1
Japan	34.2	32.7	34.2	36.4	37.0	32.8
Unemployment rate, %						
US	4.1	4.2	4.3	4.5	4.3	4.3
Euro Area	6.3	6.3	6.3	6.3	6.3	6.2
Japan	2.5	2.5	2.5	2.6	2.7	2.5

Source: J.P. Morgan, Bloomberg Finance L.P.

The Iran conflict's economic impact showed up across multiple indicators, from rising inflation pressures to softer PMI momentum. Still, overall activity was far more resilient than most had feared.

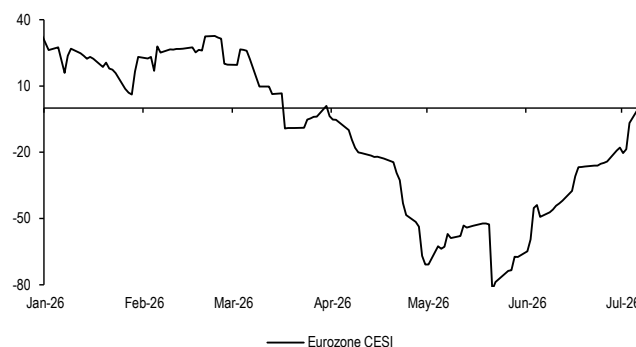
Figure 11: US CESI



Source: Bloomberg Finance L.P.

Economic surprise indices, which measure data outcomes relative to expectations, have rebounded sharply since late April.

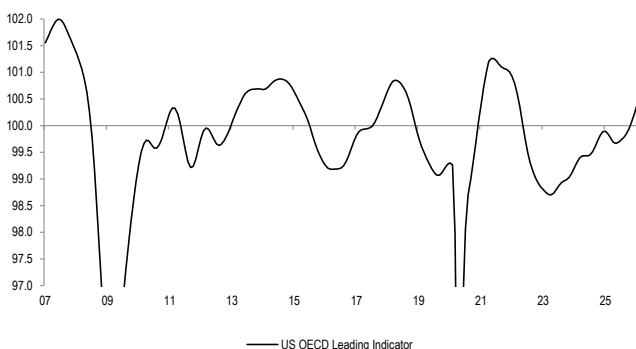
Figure 12: Eurozone CESI



Source: Bloomberg Finance L.P.

The Eurozone economic surprise index has also been trending higher and is now in positive territory.

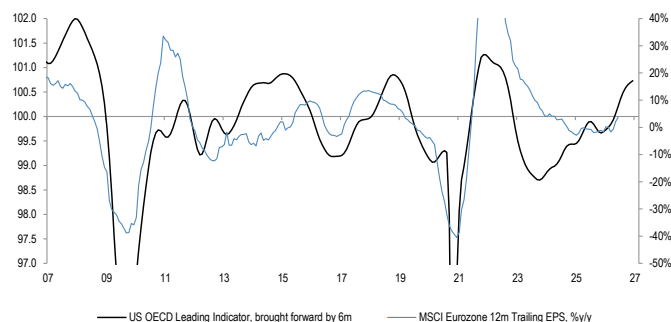
Figure 13: US OECD Leading Indicator



Source: Bloomberg Finance L.P.

The OECD leading indicator has also been ticking higher.

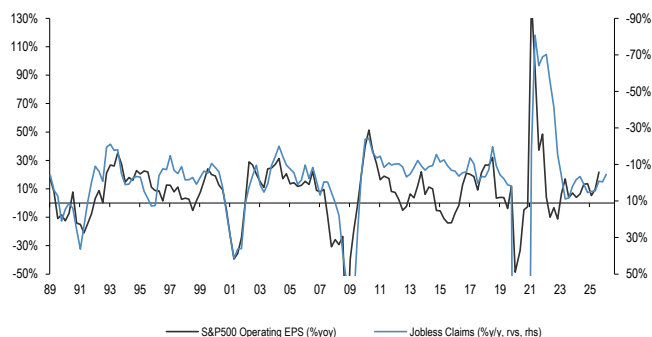
Figure 14: OECD Leading indicator and Eurozone 12m trailing EPS



Source: Bloomberg Finance L.P., IBES

Historically, the OECD CLI has been a reliable lead indicator for global corporate earnings, with a lead time of 6 months. The current trajectory of the CLI is consistent with continued positive earnings surprises through the second half of 2026, and argues against the view that earnings growth is set to roll over.

Figure 15: S&P500 Operating EPS and Jobless Claims



Source: S&P Global, Datastream

US jobless claims have stayed notably resilient. Recent weekly readings point to a labour market that is easing gradually rather than weakening abruptly. This matters for the earnings outlook because moderating wage growth is still underpinning consumer spending while also reducing cost pressure for corporates. We view this as a Goldilocks backdrop for U.S. profit margins.

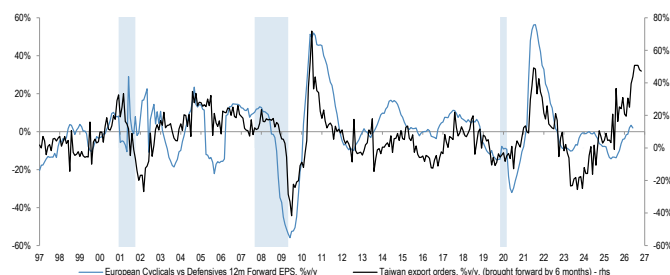
Figure 16: 'European Cyclical vs Defensives 12m forward EPS



Source: IBES

We see this macro backdrop as particularly supportive for Cyclical sectors, where the earnings recovery has further to run given the low base from the past 2-3 years of relative weakness.

Figure 17: European Cyclical v Defensives EPS and Taiwan Export Orders

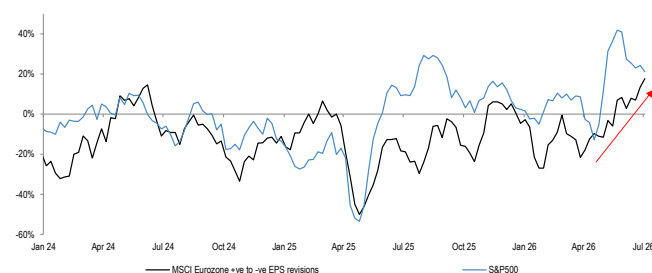


Source: IBES, J.P. Morgan.

We also highlight the resilience in Taiwan's export orders, which typically aligns with an improving earnings trajectory, particularly for cyclicals.

Eurozone EPS revisions closing the gap with the US

Figure 18: MSCI Eurozone and SPX Weekly EPS Revisions

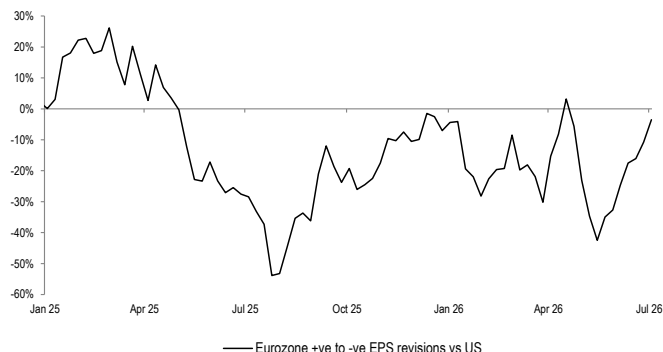


Source: IBES

Eurozone EPS revisions have strengthened in recent weeks, turning decisively positive, while the divergence versus U.S. EPS revisions has tightened and may be on the verge of fully closing for the first time since early 2025. This is a meaningful shift. Over the past three years, European earnings have

consistently fallen short of consensus expectations, with the EPS revisions ratio remaining structurally below that of the US.

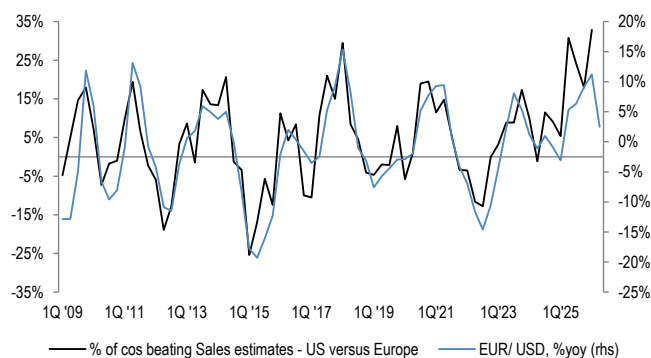
Figure 19: Eurozone EPS revisions vs US



Source: IBES

We believe this improvement can continue, and expect the Eurozone to deliver strong double-digit EPS growth this year, in contrast to the stagnation of the past three years.

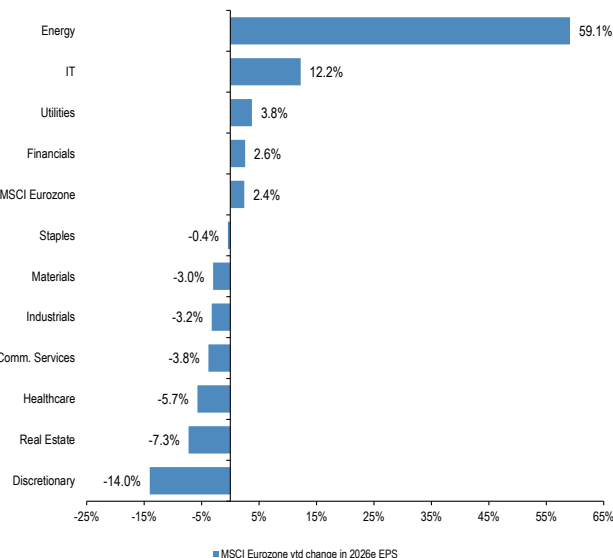
Figure 20: US vs Europe Sales estimates beats and EURUSD



Source: Bloomberg Finance L.P., J.P. Morgan

The drivers are multiple: better operating leverage from recovering revenues, fiscal stimulus feeding through to Industrial and Defence sectors, a weaker EUR supporting exporters, and the tailwind from lower energy costs.

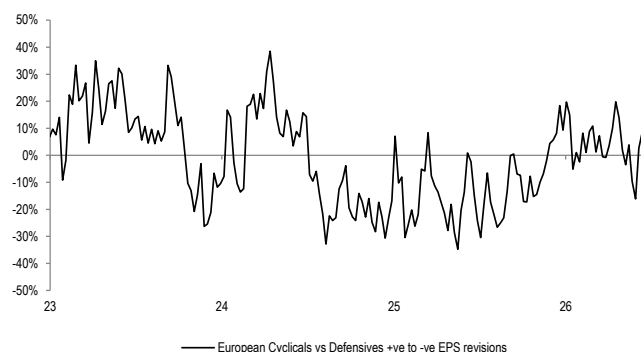
Figure 21: MSCI Eurozone sectors ytd change in 2026e EPS



Source: IBES

The extent of positive earnings revisions across Eurozone sectors stands out. While Mining and Energy have recorded the largest upgrades in absolute terms, largely reflecting commodity price mark-to-market effects, the upswing is far more widespread. Capital Goods remains supported by the electrification and AI capex supercycle, Semis are benefitting from the memory upturn, and Banks continue to see support from resilient net interest income.

Figure 22: European Cyclical vs Defensives +ve to -ve EPS revisions



Source: IBES

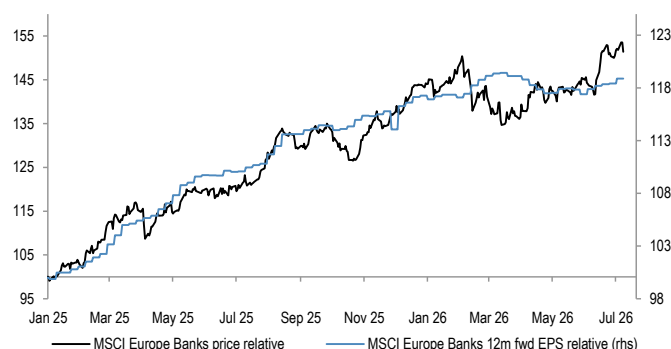
The inflection higher in Cyclical sector earnings revisions relative to Defensives has continued to develop. The spread between Cyclical and Defensive revisions has moved firmly into positive territory. This is consistent with the improving PMI backdrop and rising IFO expectations, both of which historically lead Cyclical earnings inflections by several months.

We expect the improvement to have further runway. Europe's fiscal impulse is skewed toward cyclicals, with defence out-

lays, infrastructure investment, and power grid upgrades, and many of these initiatives are still at an early stage of rollout. This backdrop should support continued earnings outperformance from cyclical sectors through the rest of 2026 and into 2027.

At a sector-level, Banks earnings could look reassuring and Semis appear set up for rebound...

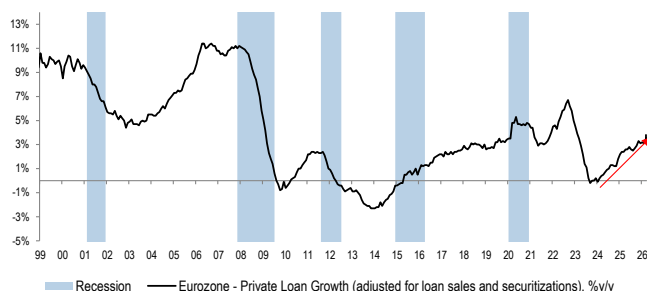
Figure 23: MSCI Europe Banks - EPS and price relative



Source: IBES, Datastream

Banks are likely to report a reassuring set of second quarter results. Net interest income has proven more resilient than feared despite earlier rate cuts, helped by hedging actions and a pickup in loan demand. Fee income, particularly across investment banking and wealth management, has also surprised to the upside this year. We expect banks to modestly exceed second quarter consensus, with constructive commentary on the net interest income path helping to reinforce confidence in the durability of the sector's earnings.

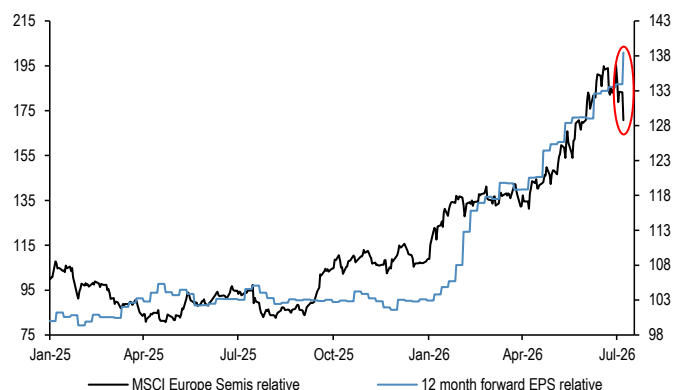
Figure 24: Eurozone - private loan growth



Source: ECB

European lending growth has been trending higher, which should support continued earnings strength for the Banking sector.

Figure 25: MSCI Europe Semis relative and EPS relative



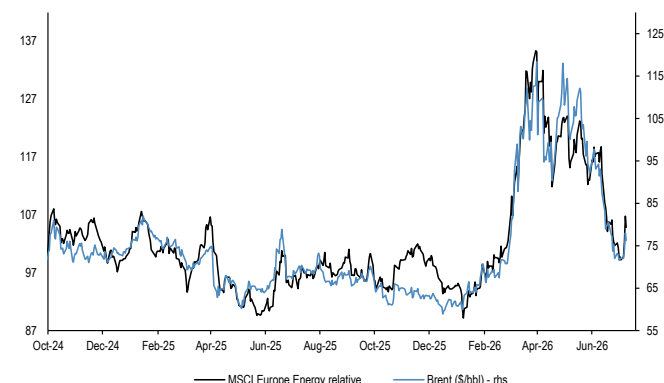
Source: IBES

Semis offer one of the more compelling tactical setups into reporting season. A clear gap is emerging between price and earnings momentum. The sector has been weak in recent weeks amid profit-taking and geopolitical overhangs, yet earnings revisions have continued to grind higher, supported by firm memory pricing, amid resilient AI-led demand. We think strong Q2 prints could provide the catalyst to narrow this disconnect and drive a meaningful rebound across the group.

Our sector analysts expect Q2 to show continued order momentum, with positive commentary on 2027 capacity plans. The larger-than-expected capex announcements from TSMC, Samsung and others earlier this year reinforce the structural demand story.

...while Energy could look vulnerable

Figure 26: MSCI Europe Energy relative vs Brent

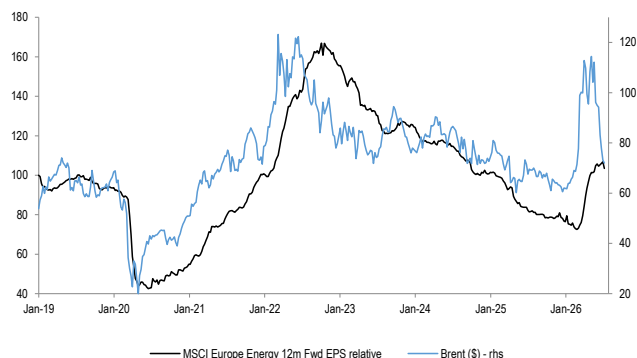


Source: Datastream, Bloomberg Finance L.P.

In contrast, the Energy sector's earnings relative remains hostage to the oil price volatility. Through much of 2025, Energy stocks traded at a significant discount to what spot oil implied, providing a margin of safety. That gap had largely closed before last week's jump in oil prices.

While the Iran conflict has provided intermittent support to oil prices, we believe the structural supply picture argues for lower oil over a 12-month horizon. Energy earnings revisions are likely to flatten as the base effects from last year and conflict-driven oil spike fade, and we maintain our Underweight stance on the sector.

Figure 27: MSCI Europe Energy 12m Fwd EPS relative and Brent



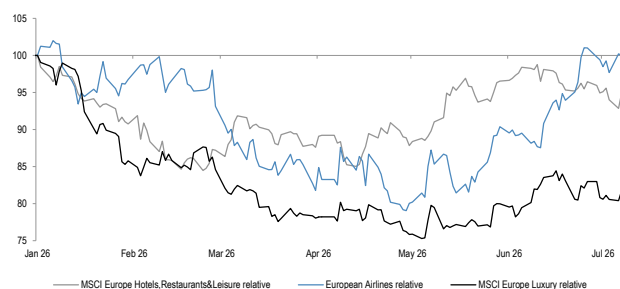
Source: IBES, Bloomberg Finance L.P.

Energy earnings estimates are up roughly 45% since the conflict began, tracking the move higher in Brent, and Q2 earnings should reflect this. Earnings relative now sits in line with the oil price, so there is no gap between the two.

Consumer sectors earnings are likely to be mixed, but the market may look through

Consumer sectors are likely to deliver mixed results in Q2, with Hotels and Airlines showing positive momentum while Autos and parts of Retail remain under pressure. However, we believe the market could look through near-term earnings weakness in these sectors, expecting an inflection point in 2H. As we outlined in our [recent note](#), consumer confidence is at contrarian lows, tariff rates have come down, oil prices are sequentially down, and the central bank hiking cycle is likely approaching its peak. This is all supportive for the consumer outlook on a forward-looking basis.

Figure 28: European Consumer sectors relative ytd



Source: Datastream, Bloomberg Finance L.P.

We see three areas as particularly attractive. First, Luxury, where demand from Korea remains strong and trends in Chi-

na are stabilising. Second, Airlines, which should benefit from lower jet fuel costs and easing geopolitical restrictions. Third, Hotels, Restaurants and Leisure, where RevPAR is improving and the FIFA World Cup could provide a near-term catalyst in the US.

Table 7: Q2 Earnings Preview by Sector Analysts

Sector	(+)/(−)	Comments
Energy	(+)	Middle East de-escalation is the sector's key near-term variable. EU Oils price performance is correlating most closely to 1-2Y forward oil prices (over spot volatility) and the 2027 FCF yield is now 11.0% at \$75/bbl Brent. With that in mind, 2Q screens as strong absolute but backward looking (eg: avg oil price near \$105/bbl vs spot \$70-75). In parallel, potential variations in O&G price capture, trading and cash conversion point to a wider than usual range around consensus expectations. Against that backdrop, sector analysts tactical views into reporting are: 1) Refining is re-strengthening on tight stocks, renewed supply constraints and a parachute effect vs. moderating oil prices. Longevity remains to be seen but, near term, this favours downstream geared midcaps led by OW Galp and N Repsol; 2) OW Galp for 2H. A catalyst-rich outlook creates scope to re-rate with less oil price dependency than peers. Results should also bring welcome FY upgrades, though the Street appears to be in the right ballpark; 3) Majors. The backdrop limits relative 2Q conviction across the large-caps. They favour OW TotalEnergies for sound cash conversion, deleveraging and potential for a further SBB increase to \$2bn ('26 cash yield 9.4%). High end financial leverage and corporate flux heighten the importance of strong EPS capture at N BP
Metals & Mining	(−)	Cost inflation is key concern into H1'26 results. Sector analysts see potential for earnings disappointments and upside risk to 2026 cost guidance. This is largely driven by higher diesel, freight, sulfuric acid and other raw material costs. Cost inflation is key risk specifically at Glencore (higher sulfuric acid costs in DRG), Anglo American (freight costs at Kumba & weakness in diamonds).
Chemicals	(−)	Cyclical chemical stocks have lagged in recent weeks as easing Middle East (ME) geopolitical risk shifts investor focus away from potential 2Q26 earnings beats and back toward structural headwinds: significant industry overcapacity (especially in China) and intensifying competition in specialty products from Chinese and other Asian producers. Sector analysts see substantial downside risk to 3Q26/2H26 and 2027 consensus earnings across much of the cyclical chemicals complex, with estimates still well above the weak early 2026 earnings run-rate seen before the ME-driven uplift. With the geopolitical backdrop evolving and worsening earnings exit rates coming out of 2Q26, management teams may guide conservatively for 2H26 even if they deliver 2Q beats. Brenntag's trading update last evening illustrates the disconnect: despite guiding 2Q adjusted EBITDA to ~22% above Vara consensus, the midpoint of its upgraded FY26 adjusted EBITDA guidance still implies ~12% downside versus current 2H26 consensus (with top-end of new guidance in line with current consensus). Overall, a likely return of "sector blues" argues for greater selectivity and an emphasis on favorable bottom-up stories.
Construction Materials	(+)/(−)	Overall, sector analysts would expect Q2 results to showcase greater pricing impact in the numbers given recent actions taken, with volumes also showing an improvement, particularly given how Q1 was impacted by adverse weather. In terms of regional commentary, from their pre-close calls, commentary on trends in Europe were positive excluding the UK, which has been challenging; and in the US, activity remains generally positive with strong activity in the data-centre and infrastructure segments offsetting weak residential; whilst the roofing end-market continues to be up against tough comps; Australia continues to improve; Latam and in particular Mexico remains strong, and Saint-Gobain highlighted that trends remain strong in Asia and Emerging Markets; though China remains weak.
Capital Goods	(+)	The Q2 setup looks positive for the most part, given 1) swift price/cost management across our sector analysts coverage since Q1; 2) the still-strong end markets of AI/DC/wider Electrification, and Mining, alongside; and 3) a recovery in Discrete (particularly in China). They may also see some IEEPA tariff refunds too. More important for share prices as they enter and exit Q2, however, are the latest terminal debates which emerge each quarter, noting "SaaSmergeddon" was front of mind heading into Q1, which has been superseded by 1) concerns of peak orders in GW and / or pricing terms for new CCGTs; 2) Grid investment sustainability beyond 2030; and 3) the 800VDC winners / losers debate.
Luxury	(+)/(−)	• Q2 26 to be in line to slightly better than Q1. Sector analysts expect Q2 luxury sales c.+4% yoy on average growth, broadly in line with the Q1 +4% sector average, and retail growth at +6% ex-FX. Within the mix, they expect ongoing strength of the American consumers (our Chase credit card data continue to suggest an improvement of discretionary spend - see link for Chase card disclosures), solid trends with the Korean cohort and the region, and the continued resiliency of the Japanese clientele. For Europe, they also expect to hear more positive commentary around the tourist spend during peak season, albeit mixed depending on the nationality exposure. The only region where we expect more muted trends in Q2 than in Q1 is China, following a good Chinese New Year and with most data points they track pointing to still volatile, and overall lacklustre, patterns. Against this backdrop, they think performance will remain polarised, with outperformance driven by self-help factors such as desirability, brand momentum and specific category exposure. • A mixed picture on margins. With a still muted topline in most cases, they anticipate an ongoing focus on cost control and not much operating leverage as of yet. Forex should also remain a headwind to H1 margins, albeit a fading one, notably towards the second half of Q2. They anticipate material margin expansion at some of the turnaround stories (e.g. Ferragamo, Swatch), on very depressed profitability levels, mainly thanks to self-help measures and the stabilisation of top lines. Out of the stronger stories, they expect Brunello Cucinelli to stand out, not just for its better top-line dynamics, but also for its ongoing steady progress on margins (JPMe: +30bps in H1). • Moving back to tougher comps, but how tough are they? Going into Q3, comps will be tougher across the board – nearly 500bps on average for the sector and, in some cases, such as Richemont, as tough as 800bps. Given the ongoing volatility in China and this tougher base of comparison, they expect comments on current trading to remain vague and generally cautious throughout reporting. That said, they do wonder whether comps might look tougher than they actually are. Recall Q3 24 saw a very sudden and deep drop in Chinese consumer demand and hence Q3 25, showing a stabilisation exactly with this cluster, should be looked at together with the prior year. On a two-year basis, comps are actually 200bps tougher sequentially. By company, on this basis, Richemont JM and Kering have the toughest comps Q3 on Q2, while Brunello Cucinelli and LVMH F&LG look a lot easier than on a YoY basis (both have 1% tougher comp sequentially Yo2Y instead of 5% and 7% tougher, respectively). The stock with the most favourable comps into Q3 is Moncler (100bps tougher YoY but 700bps easier Yo2Y), and it is one of their preferred names into H2 26.
Staples	(−)	In Food/HPC, sector analysts expect L'Oreal, with a robust adjusted LFL in the quarter at +5.1% as our data tracking evidences continued share gains, although they flag that the Beauty market is not showing signs of acceleration while recent data points to risk of deceleration amid tough H2 comps. In Beverages they previewed the brewers, broadly lowering their estimates as Q1 tailwinds reverse and consumer wallets remain pressured. They expect a sequential deceleration in organic volumes for AB InBev at JPMe +0.4% with the US and Europe showing weak sell-put data, while LatAm should prove more resilient, and for Carlsberg at JPMe +1.3% with Asia performance weighted by bad weather in China. Meanwhile, Heineken's consolidated volumes should remain stable at JPMe -0.1% with continued momentum in AME and APAC offset by category softness in the Americas. On the Spirits, we previewed Campari where they expect Q2 to reassure on consistent growth of JPMe LFL sales +2% despite tough comps, and Pernod-Ricard where US and China should weigh on FY26 at JPMe LFL -3.8%, at the bottom end of the guide for -3-4%.

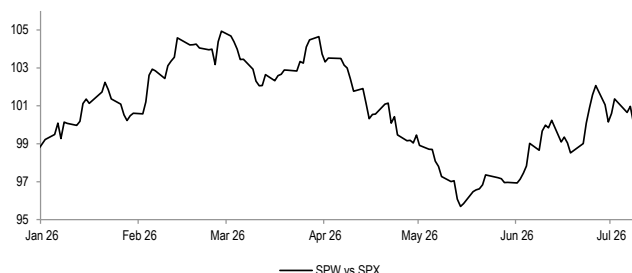
Sector	(+)/(-)	Comments
Food & Drug Retail	(+)/(-)	Ahold (UW, -CW, AFL): Sector analysts have Ahold Delhaize on -CW ahead of 1H26 results on Aug 5. For context, recall that they had placed the shares on our AFL in early May as the cracks in the investment case were appearing more evident - given a slowdown across the broader market and Circana data that implies a deceleration in run rates, they expect 2Q to be reflective of further top line slowdown/volume pressure, coupled with price investments denting margins, in contrast to rather bullish market expectations.
		Carrefour (UW, -CW): They have Carrefour on -CW ahead of 1H26 results on July 23. Share outperformance and investor positioning imply a positive inflection in the equity story, whilst in turn, their analysis suggests that 1H26 might turn out to be a downgrade event. They estimate group ROI +1.6% y/y in 1H, sitting DD% below the St, with significant deviations in all three markets - group margins stay flattish on our forecasts vs guidance for 25bps expansion.
		Jeronimo (OW, AFL): Ahead of 2Q results on 29 July, they acknowledge that trading pressures appear greater-than-expected. The leading indicators have been rather lackluster: grocery implied volumes contracted to -MSD% in April-May, food CPI surprised to the downside and moved into negative territory (0.3% in June, negative for the first time since 2015), and the Easter timing effect is unfavorable for 2Q. With this in mind, we estimate 2Q Biedronka LFL at -1.5% with EBITDA margins still +8bps y/y given sound cost management and steadily expanding in 2H by 20bps y/y.
Banks	(+)	European Banks' valuations remain attractive at 10.1x P/E, 1.6x P/TBV for 17.1% RoTE in 2027e offering a total yield of c7.5% p.a. in 2026-28e. Our sector analysts remain constructive on the sector and believe long-term implied CoE should decline to c9% in line with post GFC lows seen in 2017-2018 (from c10% currently) given: 1) European Banks at a still material 2 yr fwd P/E discount of c30% vs. other sectors (SX7P vs. SXXP), 2) strong/better quality capital position, with an average CET1 ratio of 14%+, as well as the ability to absorb c270bps of provisions before breakeven, 3) healthy pre-provision operating profit growth of 6.9% p.a. over 2025-28E, 4) cost discipline with 1.8% p.a. costs CAGR '25-28E and 5) excellent capital management, balancing buybacks against selective acquisitions so far. Their top picks are Barclays, Natwest, Deutsche Bank, SocGen, CaixaBank, Standard Chartered and Erste.
Tech Hardware & Semis	(+)	- For Semiconductor devices, AI exposed companies to see strong trends: AI Data Centre remains the most dynamic end-market with rapid growth expected to be reported in Q2 driven primarily by volume, but also price with Infineon, STMicroelectronics reporting price increases. Automotive is likely to improve driven by tight supply driving orders from automotive tier-1s and OEMs. The restocking in the industrial semi market is expected to continue. - The consumer semi mkt is challenged (especially Mobile) as high DRAM prices are resulting in end-product price increases that are reducing demand. - SemiCap is likely to see a strong trends and we expect most companies will guide to improving momentum in Q3 sales (and orders where reported). Companies are likely to report very high visibility into 2027 as well as increasing confidence on ability to increase supply (to meet surging demand). Investors will look to order strength or if that metric is not reported to capacity increase indications.
Software	(+)/(-)	SAP: Macro dynamics remain broadly unchanged into Q2, with management maintaining a constructive tone but acknowledging ongoing conflict-related risks. Sector analysts note that the 2026 guidance assumes a near-term de-escalation of the Middle East conflict. Recent pipeline commentary is positive, but the market needs clearer evidence of tangible AI monetisation to drive re-acceleration. For Q2, we model group revenue of €9.8bn (~10% YoY cc), current cloud backlog of ~24% YoY cc, non-IFRS EBIT of €2.86bn (29.1% margin) and FCF of €2.97bn. Dassault Systèmes: Q2 results are expected to be broadly in line with guidance, with Bloomberg consensus at 3.3% revenue growth YoY cc, matching the midpoint of company guidance (2-5% YoY cc). Medidata's growth is expected to remain negative, while Industrial Innovation could improve. They model Q2 revenue of €1.54bn (3.4% YoY cc), EBIT of €485m (29.7% margin), and adj. EPS of €0.30. Consensus continues to build in an acceleration in H2, but we see limited conviction in sustained performance. Amadeus: Q2 is likely to see the most pronounced volume pressure, with air distribution bookings and passengers boarded expected to be negative YoY due to Middle East disruptions. Pricing remains a partial offset, with healthy growth in revenue/booking and revenue/PB. For Q2, they model group revenue of €1.65bn, with Q2 Air Distribution Bookings of 113m (-5.4% y/y) and Air IT Passengers Boarded of 562m (-2.1% y/y). They model Q2 gross margin of ~76% and adj. EBIT of €503m (30.4% margin).
Utilities	(+)	Q2 is traditionally a softer quarter seasonally for the European Utilities. That being said, sector analysts expect the Q2 reporting season to be relatively resilient, underpinned by strong hydro production, volatility in commodity markets allowing for high optimization margins, and continued capex-driven earnings growth in networks. Overall, there should be sufficient buffers to meet full year guidance, and they expect companies' commentary on the outlook for the rest of the year to remain constructive.

Source: J.P. Morgan, Bloomberg Finance L.P.

Going into the reporting season, our analysts are particularly bullish on Cap Goods, Semis, and Banks, while earnings for Chemicals and Staples appear vulnerable.

Rotation and broadening in leadership has legs

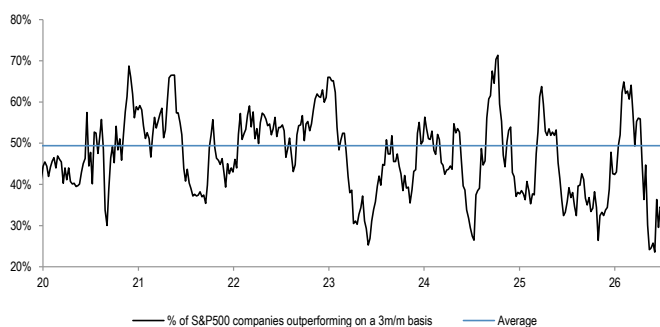
Figure 29: SPW vs SPX ytd



Source: Bloomberg Finance L.P.

We believe the rotation and broadening in market leadership that became evident in Q2 is likely to have legs. The S&P500 equal-weighted index has outperformed the market-cap weighted index by approximately 5% since the May lows, as the AI concentration trade has given way to a more diversified earnings recovery.

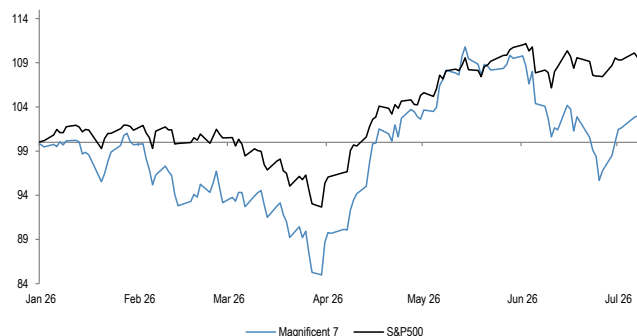
Figure 30: S&P500 companies outperforming on a 3m/m lookback



Source: Datastream

We think this broadening is in its early stages, supported by the convergence in earnings growth between Mag-7 and the rest of the market.

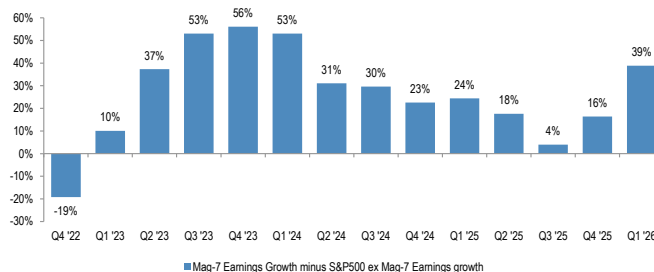
Figure 31: Mag 7 and S&P 500



Source: Bloomberg Finance L.P.

This dynamic will naturally bring periodic spikes in volatility as leadership rotates out of mega-cap winners and into lag-guards, which can make index-level price action feel choppy. In our view, however, this is unlikely to translate into a sustained market drawdown. The key difference versus prior correction episodes is that earnings fundamentals remain robust, and the rotation is unfolding within an improving profit cycle rather than at a late-cycle peak. Notably, S&P500 is down less than 2% from the recent peak, despite Mag-7 registering a much bigger drawdown.

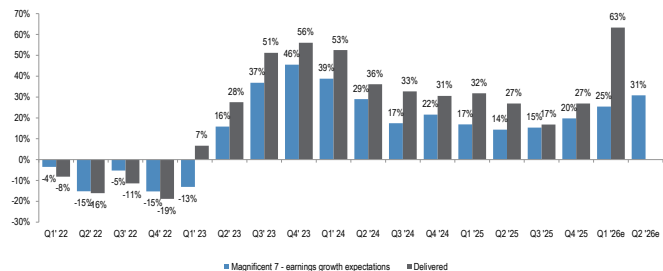
Figure 32: Mag-7 Earnings Growth minus S&P500 ex Mag-7 Earnings growth



Source: J.P. Morgan, Bloomberg Finance L.P.

After a few quarters of convergence between the Mag-7 EPS growth and that of S&P500 ex Mag-7, Q1 reporting saw the gap widen once again. However, we estimate that revaluation of investments contributed meaningfully to the Q1 earnings delivery for the group.

Figure 33: Mag -7 earnings growth - delivered and expected



Source: J.P.Morgan, Bloomberg Finance L.P., IBES

We estimate that core earnings growth for the Mag-7 names was close to 25%, versus the 63% EPS growth reported. We believe that this convergence trend will once again be re-inforced during Q2, creating a constructive backdrop for the equal weight trade and for Cyclical and Value factors more broadly.

Table 8: Profit warnings so far

Company Name	Ticker	Commentary	Date	1Day Perf relative to market, %	Sector
BAYERISCHE MOTOREN WERKE AG	BMW GR	Downturn in its Chinese automotive market	19 Jun	1.1%	Discretionary
PRIMORIS SERVICES CORP	PRIM US	Challenges in its renewable business	22 Jun	7.3%	Industrials
WINNEBAGO INDUSTRIES	WGO US	Towable RV market is stalling	25 Jun	13.2%	Discretionary
CONCENTRIX CORP	CNXC US	AI is shrinking demand for its core customer experience outsourcing business	30 Jun	-12.0%	Industrials
TOPPS TILES PLC	TPT LN	Challenging market conditions and reduced consumer spend	01 Jul	-4.8%	Discretionary
ASSOCIATED BRITISH FOODS PLC	ABF LN	Weak outlook and sugar business	01 Jul	-3.0%	Staples
NURMINEN LOGISTICS OYJ-A	NLG1V FH	Increase in railway tariffs for rail transport to Finland	02 Jul	-2.5%	Industrials
KURA SUSHI USA INC-CLASS A	KRUS US	Weak sales outlook by restaurant operator	07 Jul	-5.3%	Discretionary
BOKU INC-REG S	BOKU LN	Delays in product launching	08 Jul	-30.5%	Financials

Source: Bloomberg Finance L.P., J.P. Morgan.

Equity Strategy Key Calls and Drivers

We have consistently argued since the second half of March to use the equity weakness brought on by the Iran conflict to buy into. In March, we also highlighted that Mag-7 has started to trade at its cheapest in 10 years, and that the AI-at-risk group of stocks has already crashed, becoming record cheap. While we do not necessarily expect a repeat of 2025, when the equity rally was almost exclusive to Mag-7 for most of the 2H, we believe there is more upside for Mag-7 over the next few months, as earnings are more than compensating for the stocks' rebound. We also find the EM memory trade has legs, as meaningful supply additions are not coming before the start of 2028. Stay OW EM equities. With MXWO and MXEF at fresh highs, having more than V-shaped, is the downside risk greater than the upside one from here? We think further upside is likely as investor positioning is lighter currently than pre-conflict, P/Es are lower, we remain very bullish on the broad earnings outlook, with lead indicators pointing to continued acceleration. Further, equities are not all that complacent beneath the surface – current market breadth is very narrow – we think this is a good sign this time around, as the rally to date was more driven by AI, an orthogonal trade to geopolitics, and nearly all consumer plays are still at lows. This can change, with broadening in participation in 2H. We do not expect bond yields to rise in 2H, we see big differences from the 2022 template, and do not see stagflation as the most likely outcome for 2H. Wage growth is moving lower this time around, and corporates are unlikely to exhibit sustained pricing power, with AI anxiety an overhang on sentiment in labour markets, as well. While some hikes can happen, we think the magnitude that the market is already pricing in is likely to reduce.

Table 9: J.P. Morgan Equity Strategy — Factors driving our medium-term views

Driver	Impact	Our Core Working Assumptions	Recent Developments
Global Growth	Neutral	Hard labour market data has been a bright spot, but that can change quickly	Global composite PMI is at 52.0
European Growth	Positive	Fiscal policy changes and energy inflation to drive GDP revisions	Eurozone Manufacturing PMI is at 51.4
Monetary Policy	Neutral	Fed on pause	
Currency	Neutral	Longer term bearish dollar view intact	
Earnings	Positive	Eurozone earnings set to improve in 2026	2026 EPS projections are improving
Valuations	Negative	At 21x, U.S. forward P/E is still stretched, especially vs real yield	MSCI Europe on 14.8 Fwd P/E
Technicals	Neutral	Sentiment indicators appear close to oversold now, though positioning is still stretched	Households' equity weight as a share of total assets is at record high

Source: J.P. Morgan estimates

Table 10: Base Case and Risks

Scenario	Assumption
Upside scenario	Fed on pause while inflation remains in check and growth is stronger
Base-case scenario	Economic growth, inflation remains sustainable and Fed policy rate on hold, geopolitical uncertainty subsides
Downside scenario	Fed hikes rates with inflation picking up. Geopolitical uncertainty escalates further

Source: J.P. Morgan estimates.

Table 11: Index targets

	Dec '26 Target	Current	% upside
MSCI EUROZONE	420	380	10%
FTSE 100	11,000	10,489	5%
MSCI EUROPE	2,750	2,531	9%
EURO STOXX 50	6,800	6,205	10%
STOXX 600 E	680	636	7%

Source: J.P. Morgan

Table 12: Key sector calls

Overweight	Neutral	Underweight
Mining	Utilities	Energy
Capital Goods	Healthcare	Media
Semis	Autos	Staples
Construction Materials	Telecoms	Insurance
Luxury	Real Estate	
	Chemicals	
	Banks	
	Technology Hardware	

Source: J.P. Morgan.

Table 13: J.P. Morgan Equity Strategy — Key sector calls*

Sector	Recommendations	Key Drivers
Metals & Mining	Overweight	Preferred on a constructive China impulse and bearish USD backdrop (with "spot gap" now tighter), with China activity the key wildcard.
Cap Goods	Overweight	Supported by a constructive capex/electrification outlook, favoring parts of Industrials tied to investment spend.
Semis	Overweight	Expected to stabilize/benefit as the China/EM upswing helps previously China-exposed cyclicals and underperformers recover.
Media	Underweight	Likely to keep struggling regardless of near-term activity resilience, given ongoing AI-related disruption (though tactical bounces are possible after derating).
Software	Underweight	Similarly pressured by the AI threat and likely to remain a laggard structurally, even if oversold conditions drive intermittent rallies.

Source: J.P. Morgan estimates. * Please see the last page for the full list of our calls and sector allocation.

Table 14: J.P. Morgan Equity Strategy — Key regional calls

Region	Recommendations	J.P. Morgan Views
EM	Overweight	EM are underowned, valuations are cheap, seeing accelerating inflows, reduced China trade headwinds, China policy support
DM	Underweight	
US	Neutral	Crowded positioning, full valuations and AI commoditization risk, may not be regional outperformer
Japan	Neutral	Fundamentals remain solid, reforms/buybacks/wage gains help, but had big rally, fuller valuations
Eurozone	Overweight	Improving credit impulse and expected earnings rebound (if conflict doesn't extend in 2H)
UK	Neutral	Structurally cheap with high dividends and lower AI/trade sensitivity - useful in risk-off - but lacks near-term growth catalysts

Source: J.P. Morgan estimates.

Top Picks

Table 15: J.P. Morgan European Strategy: Top European picks

Name	Ticker	Sector	Price	Currency	Market Cap (€ Bn)	EPS Growth			Dividend Yield	12m Fwd P/E			Performance	
						25	26e	27e	26e	Current	10Y Median	% Premium	-3m	-12m
AEGON LTD	AGN NA	Financials	8	E	12.1	-18%	61%	4%	4.6%	7.9	6.8	16%	15%	27%
AIB GROUP PLC	AIBG ID	Financials	10	E	21.6	0%	-7%	10%	3.5%	11.4	10.9	4%	10%	49%
ALSTOM	ALO FP	Industrials	16	E	7.2	958%	9%	49%	1.5%	8.4	16.4	-49%	-38%	-21%
ANHEUSER-BUSCH INBEV SA/NV	ABI BB	Staples	70	E	140.8	6%	17%	10%	1.3%	17.3	17.9	-4%	10%	20%
ARGENX SE	ARGX BB	Health Care	800	E	50.0	3977%	36%	38%	0.0%	29.0	-24.0	-	19%	72%
ASML HOLDING NV	ASML NA	IT	1529	E	593.5	28%	29%	38%	0.4%	40.4	29.3	38%	26%	125%
ASTRAZENECA PLC	AZN LN	Health Care	14240	E	259.1	12%	12%	13%	1.6%	17.5	18.1	-4%	-6%	38%
BABCOCK INTL GROUP PLC	BAB LN	Industrials	1052	E	6.1	64%	-21%	67%	0.5%	16.2	8.9	81%	-18%	-4%
BARCLAYS PLC	BARC LN	Financials	497	E	78.8	27%	8%	22%	1.6%	9.1	7.3	23%	14%	49%
BAYERISCHE MOTOREN WERKE AG	BMW GR	Discretionary	59	E	36.6	-	-41%	36%	7.3%	7.1	7.1	1%	-28%	-26%
BT GROUP PLC	BT/A LN	Telecoms	188	£	22.0	1%	-2%	4%	4.3%	9.9	8.3	19%	-14%	-4%
CIE FINANCIERE RICHEMO-A REG	CFR SW	Discretionary	181	SF	115.9	-1%	-3%	15%	1.4%	26.9	22.2	21%	19%	20%
CONTINENTAL AG	CON GR	Discretionary	72	E	14.2	1%	-16%	11%	3.5%	9.9	9.8	1%	8%	24%
DANONE	BN FP	Staples	73	E	50.0	5%	4%	8%	2.9%	17.8	16.9	5%	6%	8%
DSV A/S	DSV DC	Industrials	1630	E	52.4	-1%	30%	32%	0.4%	21.3	22.9	-7%	0%	6%
FERROVIAL NV	FER SM	Industrials	56	E	41.1	-72%	-20%	18%	1.3%	53.3	49.4	8%	-6%	27%
FRAPORT AG FRANKFURT AIRPORT	FRA GR	Industrials	70	E	6.6	-4%	-23%	7%	0.0%	19.0	15.2	25%	-13%	11%
FRESENIUS SE & CO KGAA	FRE GR	Health Care	43	E	23.9	13%	0%	7%	2.3%	11.5	11.9	-3%	-4%	2%
FRESNILLO PLC	FRES LN	Materials	2570	E	22.2	465%	52%	0%	0.8%	11.0	20.1	-45%	-29%	75%
INDUSTRIA DE DISENO TEXTIL	ITX SM	Discretionary	54	E	168.8	9%	6%	9%	2.8%	25.1	22.8	10%	2%	25%
JERONIMO MARTINS	JMT PL	Staples	16	E	10.2	8%	14%	14%	3.6%	12.9	19.9	-35%	-23%	-29%
LEONARDO SPA	LDO IM	Industrials	53	E	30.9	15%	50%	20%	1.0%	20.7	9.8	112%	-7%	14%
MARKS & SPENCER GROUP PLC	MKS LN	Staples	375	£	9.1	31%	-25%	42%	0.8%	11.4	11.2	2%	3%	12%
NEMETSCHEK SE	NEM GR	IT	55	E	6.5	41%	18%	18%	1.0%	20.1	48.7	-59%	-16%	-55%
NOKIA OYJ	NOKIA FH	IT	10	E	58.7	-26%	14%	21%	1.4%	27.8	14.6	90%	27%	131%
NOVONESIS (NOVOZYMES) B	NSISB DC	Materials	418	E	26.2	16%	36%	10%	1.0%	26.2	28.7	-9%	7%	-8%
ORANGE	ORA FP	Telecoms	16	E	42.4	5%	13%	15%	4.5%	15.3	10.4	47%	-11%	22%
PRUDENTIAL PLC	PRU LN	Financials	1009	E	29.7	13%	14%	21%	1.7%	10.6	10.8	-2%	-10%	9%
RWE AG	RWE GR	Utilities	56	E	43.9	-21%	10%	17%	1.8%	18.9	14.5	30%	-4%	58%
SAIPEM SPA	SPM IM	Energy	5	E	9.1	0%	50%	35%	3.6%	16.7	16.3	2%	10%	93%
SHELL PLC	SHEL LN	Energy	3080	E	201.3	-17%	60%	-10%	3.4%	8.7	10.2	-14%	-9%	18%
SIEMENS AG-REG	SIE GR	Industrials	265	E	210.1	17%	-11%	14%	2.0%	22.2	15.1	47%	15%	22%
SIEMENS ENERGY AG	ENR GR	Industrials	153	E	134.7	-	168%	38%	0.0%	27.0	30.4	-11%	-6%	66%
SSE PLC	SSE LN	Utilities	2448	£	34.8	13%	-5%	19%	2.4%	13.0	12.2	6%	-10%	31%
STANDARD CHARTERED PLC	STAN LN	Financials	2036	E	52.3	36%	0%	22%	1.4%	11.0	9.1	21%	18%	63%
TECHNIP ENERGIES NV	TE FP	Energy	34	E	6.0	-6%	14%	37%	2.5%	12.3	10.4	18%	-15%	-7%
UBS GROUP AG-REG	UBSG SW	Financials	41	E	146.1	55%	48%	25%	1.8%	13.0	10.5	24%	27%	47%
UNILEVER PLC	ULVR LN	Staples	4640	E	117.3	-8%	4%	7%	3.7%	16.5	18.4	-10%	8%	-3%
UNIVERSAL MUSIC GROUP NV	UMG NA	Telecoms	19	E	34.6	7%	0%	11%	2.8%	17.4	24.6	-29%	-5%	-30%

Source: Datastream, MSCI, IBES, J.P. Morgan, Prices and Valuations as of COB 8th Jul, 2026. Past performance is not indicative of future returns.

Please see the most recent company-specific research published by J.P. Morgan for an analysis of valuation methodology and risks on companies recommended in this report. Research is available at <http://www.jpmorganmarkets.com>

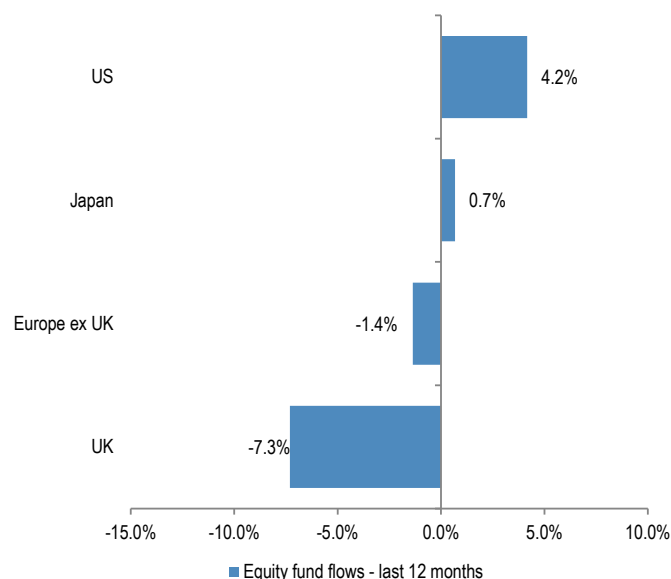
Equity Flows Snapshot

Table 16: DM Equity Fund Flows Summary

	Regional equity fund flows					% AUM				
	1w	1m	3m	YTD	12m	1w	1m	3m	YTD	12m
Europe ex UK	-287	-3,759	-11,806	-11,254	-5,476	-0.1%	-0.8%	-2.6%	-2.5%	-1.4%
UK	-81	-734	-2,389	-6,666	-21,552	0.0%	-0.2%	-0.7%	-2.1%	-7.3%
US	-17,207	110,784	257,854	315,462	538,938	-0.1%	0.7%	1.8%	2.2%	4.2%
Japan	1,855	4,280	-5,307	14,659	6,030	0.2%	0.3%	-0.5%	1.4%	0.7%

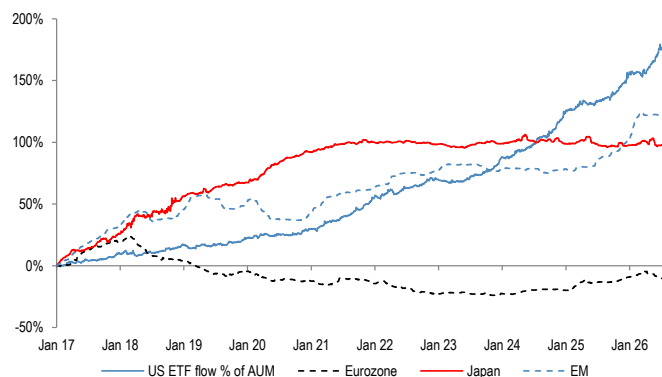
Source: EPFR, as of 1st Jul, 2026

Figure 34: DM Equity Fund flows – last 12 month



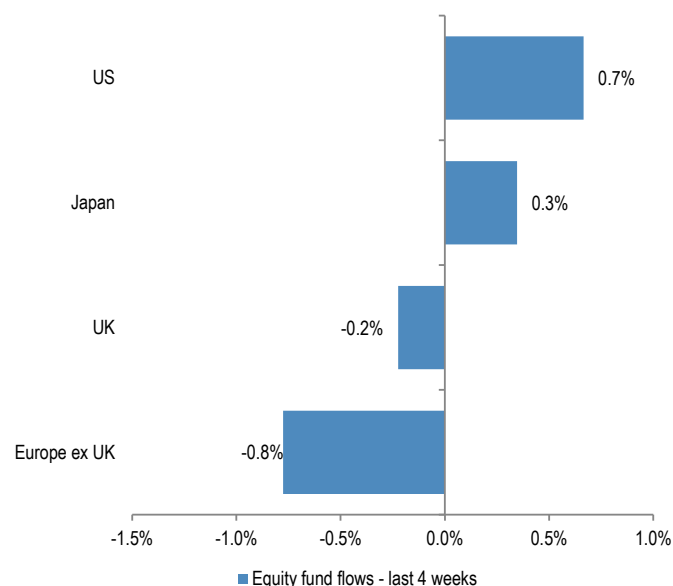
Source: EPFR, Japan includes BoJ purchases.

Figure 36: Cumulative fund flows into regional equity ETFs as a percentage of AUM



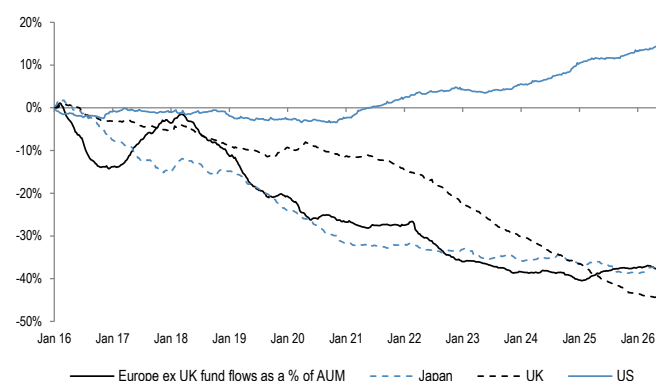
Source: Bloomberg Finance L.P. *Based on the 25 biggest ETF's with a mandate to invest in that particular region. Japan includes BoJ purchases.

Figure 35: DM Equity Fund flows – last month



Source: EPFR, Japan includes BoJ purchases.

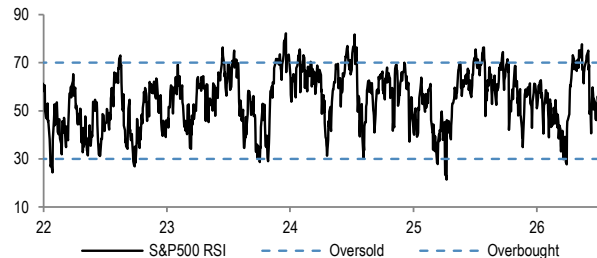
Figure 37: CPFR, as of 1st Jul, 2026. Japan includes Non-ETF purchases only



Source: EPFR, as of 1st Jul, 2026. Japan includes Non-ETF purchases only.

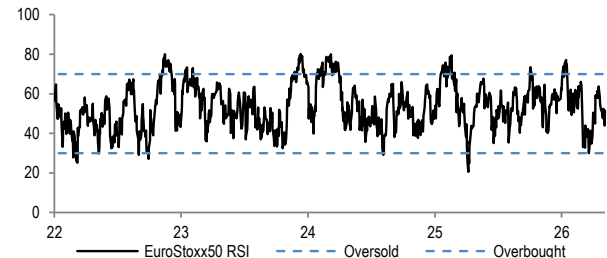
Technical Indicators

Figure 38: S&P500 RSI



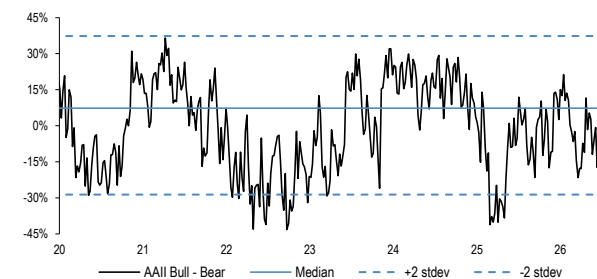
Source: Bloomberg Finance L.P.

Figure 39: EuroStoxx50 RSI



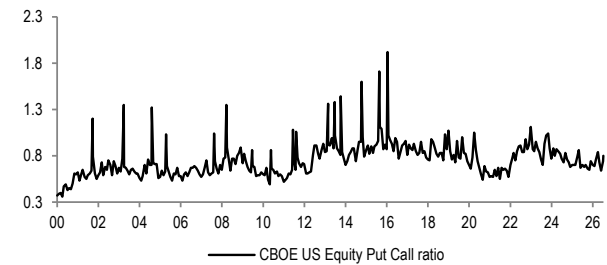
Source: Bloomberg Finance L.P.

Figure 40: AAll Bull-Bear



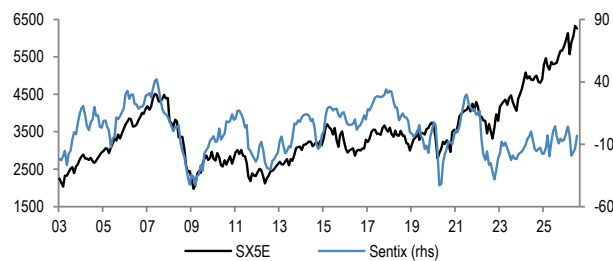
Source: Bloomberg Finance L.P.

Figure 41: Put-call ratio



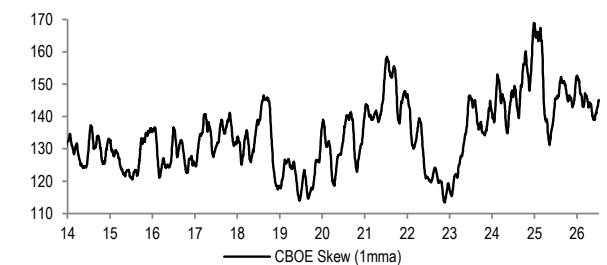
Source: Bloomberg Finance L.P.

Figure 42: Sentix Sentiment Index vs SX5E



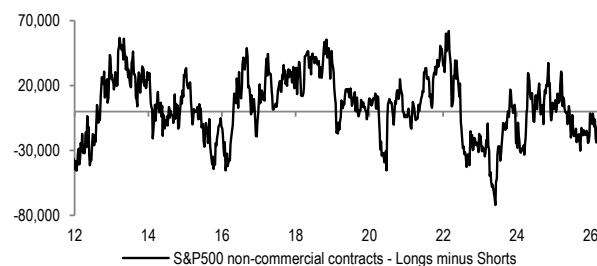
Source: Bloomberg Finance L.P.

Figure 43: Equity Skew



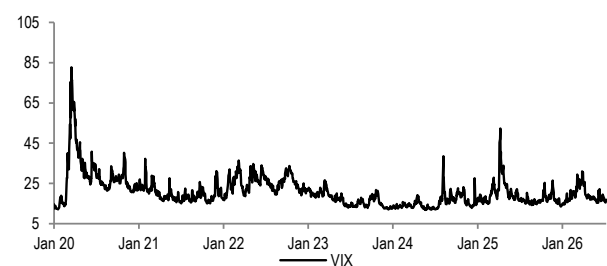
Source: Bloomberg Finance L.P.

Figure 44: Speculative positions in S&P500 futures contracts



Source: Bloomberg Finance L.P.

Figure 45: VIX



Source: Bloomberg Finance L.P.

Performance

Table 17: Sector Index Performances — MSCI Europe

(%change)		Local currency		
Industry Group		4week	12m	YTD
Europe		2.9	16.2	7.1
Energy		(6.9)	29.4	20.7
Materials		(3.1)	15.6	7.1
	Chemicals	4.4	(0.3)	11.8
	Construction Materials	(0.2)	(1.0)	(14.2)
	Metals & Mining	(10.8)	57.2	10.7
Industrials		3.6	13.5	7.1
	Capital Goods	3.8	18.3	9.1
	Transport	6.1	19.8	8.5
	Business Svs	(0.9)	(28.2)	(13.9)
Consumer Discretionary		(0.4)	(5.9)	(12.0)
	Automobile	(4.2)	(18.3)	(19.1)
	Consumer Durables	1.5	(3.4)	(13.5)
	Media	(0.6)	(28.6)	(13.9)
	Retailing	0.3	4.1	(10.1)
	Hotels, Restaurants & Leisure	(2.1)	(5.9)	0.3
Consumer Staples		3.5	4.2	2.7
	Food & Drug Retailing	0.0	9.2	4.9
	Food Beverage & Tobacco	3.8	6.0	5.1
	Household Products	4.0	(1.5)	(3.6)
Healthcare		5.7	13.6	2.0
Financials		8.9	26.6	7.9
	Banks	10.0	44.5	12.5
	Diversified Financials	6.2	4.5	1.3
	Insurance	8.2	10.4	2.7
Real Estate		4.1	15.1	7.2
Information Technology		(3.0)	40.1	33.8
	Software and Services	(6.3)	(38.4)	(23.2)
	Technology Hardware	(11.6)	42.4	23.9
	Semicon & Semicon Equip	(0.5)	115.3	72.0
Telecommunications Services		(6.4)	(13.5)	(4.2)
Utilities		3.2	28.2	14.9

Source: MSCI, Datastream, As at COB 8th Jul, 2026

Table 18: Country and Region Index Performances

(%change)		Local Currency			US\$		
Country	Index	4week	12m	YTD	4week	12m	YTD
Austria	ATX	6.8	44.6	19.7	5.5	41.0	16.3
Belgium	BEL 20	0.6	25.8	10.9	(0.7)	22.7	7.7
Denmark	KFX	8.8	(7.3)	2.1	7.4	(9.8)	(0.9)
Finland	HEX 20	(3.6)	23.3	6.2	(4.8)	20.3	3.2
France	CAC 40	1.1	6.3	1.3	(0.2)	3.7	(1.6)
Germany	DAX	2.9	2.9	1.7	1.6	0.3	(1.3)
Greece	ASE General	4.8	27.8	17.3	3.5	24.6	13.9
Ireland	ISEQ	5.3	20.0	5.2	4.0	17.0	2.2
Italy	FTSE MIB	3.6	29.0	15.3	2.3	25.8	12.0
Japan	Topix	4.1	42.2	17.5	2.8	28.5	13.3
Netherlands	AEX	2.3	17.4	13.1	1.0	14.5	9.9
Norway	OBX	(2.0)	16.4	14.6	(5.3)	20.4	18.1
Portugal	BVL GEN	1.8	16.4	10.1	0.5	13.5	6.9
Spain	IBEX 35	5.3	35.7	10.4	4.0	32.4	7.2
Sweden	OMX	3.0	24.7	9.1	0.5	22.6	3.5
Switzerland	SMI	5.3	18.4	6.8	3.8	16.8	4.6
United States	S&P 500	3.0	20.2	9.3	3.0	20.2	9.3
United States	NASDAQ	2.8	26.7	11.3	2.8	26.7	11.3
United Kingdom	FTSE 100	2.3	18.5	5.6	2.1	17.0	5.0
EMU	MSCI EMU	2.6	16.9	8.2	1.3	14.0	5.1
Europe	MSCI Europe	2.9	16.2	7.1	1.8	13.9	4.6
Global	MSCI AC World	3.1	20.5	9.3	2.7	19.4	8.6

Source: MSCI, Datastream, As at COB 8th Jul, 2026

Earnings

Table 19: IBES Consensus EPS Sector Forecasts — MSCI Europe

	EPS Growth (%yoy)			
	2025E	2026E	2027E	2028E
Europe	(0.4)	17.3	10.4	10.3
Energy	(13.7)	66.5	(13.8)	(0.7)
Materials	(9.4)	34.6	9.5	5.2
Chemicals	(6.6)	11.8	6.2	9.9
Construction Materials	(22.3)	9.3	13.0	10.8
Metals & Mining	(6.0)	64.8	9.9	0.8
Industrials	8.9	11.3	14.8	13.5
Capital Goods	11.2	12.9	15.7	13.9
Transport	(3.1)	0.4	11.3	13.4
Business Svs	5.9	10.5	10.9	10.1
Discretionary	(63.0)	146.0	20.3	15.3
Automobile	(129.4)	-	29.7	18.4
Consumer Durables	(7.2)	9.2	14.8	13.6
Media	20.6	8.8	14.9	13.2
Retailing	15.8	12.6	14.0	11.7
Hotels, Restaurants & Leisure	10.7	6.3	15.6	14.4
Staples	(1.9)	3.1	7.6	7.3
Food & Drug Retailing	1.0	9.8	8.8	7.8
Food Beverage & Tobacco	(1.6)	2.3	7.6	7.7
Household Products	(4.1)	2.2	7.2	5.9
Healthcare	9.2	3.4	9.8	10.8
Financials	10.0	9.9	12.9	11.1
Banks	12.9	8.6	13.7	11.6
Diversified Financials	(8.1)	22.6	18.2	15.2
Insurance	14.3	6.9	7.8	7.1
Real Estate	12.1	0.6	2.9	2.3
IT	12.1	16.9	28.4	18.5
Software and Services	24.6	12.1	15.1	16.1
Technology Hardware	4.4	(9.3)	12.6	11.8
Semicon & Semicon Equip	7.3	32.6	42.0	21.4
Telecoms	9.2	7.6	14.4	10.4
Utilities	1.3	6.6	7.4	7.0

Source: IBES, MSCI, Datastream. As at COB 8th Jul, 2026

Table 20: IBES Consensus EPS Country Forecasts

Country	Index	EPS growth (%change)			
		2025E	2026E	2027E	2028E
Austria	ATX	9.7	23.0	10.4	8.2
Belgium	BEL 20	18.1	11.1	15.0	12.4
Denmark	Denmark KFX	(1.2)	(2.0)	5.1	10.6
Finland	MSCI Finland	4.5	17.2	11.4	10.5
France	CAC 40	(22.8)	44.6	9.3	9.8
Germany	DAX	4.9	7.5	15.6	14.2
Greece	MSCI Greece	(8.5)	12.8	12.7	10.8
Ireland	MSCI Ireland	2.9	(2.0)	12.5	13.1
Italy	MSCI Italy	(37.1)	84.1	10.8	10.2
Netherlands	AEX	(20.5)	33.9	11.0	10.9
Norway	MSCI Norway	(11.4)	54.1	(8.8)	1.9
Portugal	MSCI Portugal	23.6	19.3	2.8	6.2
Spain	IBEX 35	5.7	10.2	11.8	9.8
Sweden	OMX	(3.3)	4.3	9.1	8.2
Switzerland	SMI	6.8	7.3	10.4	9.5
United Kingdom	FTSE 100	6.8	17.9	8.0	8.4
EMU	MSCI EMU	(4.4)	20.1	12.4	11.6
Europe ex UK	MSCI Europe ex UK	(2.6)	16.8	11.5	11.1
Europe	MSCI Europe	(0.4)	17.3	10.4	10.3
United States	S&P 500	13.6	25.3	19.3	14.6
Japan	Topix	11.4	14.1	11.6	10.5
Emerging Market	MSCI EM	10.4	61.5	23.7	10.4
Global	MSCI AC World	10.1	27.8	17.6	12.5

Source: IBES, MSCI, Datastream. As at COB 8th Jul, 2026**Japan refers to the period from March in the year stated to March in the following year— EPS post-goodwill

Valuations

Table 21: IBES Consensus European Sector Valuations

	P/E			Dividend Yield			EV/EBITDA			Price to Book		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Europe	15.7	14.2	12.9	3.1%	3.4%	3.6%	9.2	8.6	7.9	2.3	2.2	2.0
Energy	7.8	9.1	9.1	4.7%	4.9%	5.1%	3.3	3.7	3.7	1.4	1.3	1.2
Materials	15.9	14.5	13.8	3.1%	3.4%	3.5%	8.0	7.3	6.9	1.9	1.8	1.7
Chemicals	21.9	20.6	18.8	2.8%	2.9%	3.0%	11.1	10.6	9.8	2.3	2.2	2.1
Construction Materials	15.9	14.1	12.7	2.4%	2.7%	2.9%	9.2	8.1	7.3	1.7	1.6	1.5
Metals & Mining	12.1	11.0	10.9	3.5%	3.9%	4.1%	6.3	5.8	5.6	1.8	1.7	1.6
Industrials	22.8	19.9	17.5	2.0%	2.3%	2.5%	12.0	10.8	9.7	4.1	3.7	3.3
Capital Goods	24.0	20.7	18.2	1.9%	2.1%	2.4%	13.3	11.7	10.4	4.6	4.2	3.6
Transport	18.0	16.2	14.3	2.7%	2.8%	2.9%	7.8	7.8	7.2	2.0	1.9	1.8
Business Svs	17.0	15.4	13.9	2.9%	3.2%	3.5%	11.0	10.0	9.2	5.5	5.2	4.9
Discretionary	16.2	13.5	11.7	2.6%	2.9%	3.3%	7.1	5.9	5.2	2.0	1.8	1.7
Automobile	8.8	6.8	5.7	4.2%	5.1%	5.9%	1.9	1.6	1.1	0.6	0.5	0.5
Consumer Durables	24.6	21.4	18.8	2.1%	2.3%	2.5%	14.5	11.6	10.7	4.0	3.6	3.4
Media & Entertainment	20.6	18.0	15.9	1.6%	1.7%	1.9%	13.6	11.9	9.7	4.6	4.1	3.6
Retailing	15.4	13.5	12.1	2.4%	2.6%	2.9%	14.0	12.7	11.1	5.4	3.3	2.9
Hotels, Restaurants & Leisure	20.7	17.9	15.6	2.4%	2.7%	3.0%	10.9	10.1	9.0	5.5	5.0	4.5
Staples	16.9	15.7	14.6	3.3%	3.4%	3.7%	10.5	9.7	9.1	3.0	2.8	2.7
Food & Drug Retailing	13.3	12.2	11.3	3.7%	4.0%	4.3%	6.6	6.1	5.6	2.0	1.9	1.8
Food Beverage & Tobacco	16.9	15.7	14.6	3.4%	3.6%	3.9%	10.7	10.0	9.4	2.8	2.6	2.5
Household Products	18.6	17.4	16.4	2.8%	2.9%	3.1%	12.4	11.2	10.6	4.2	3.9	3.6
Healthcare	16.7	15.2	13.7	2.4%	2.6%	2.8%	12.3	11.1	10.1	3.4	3.1	2.8
Financials	11.6	10.3	9.3	4.4%	4.9%	5.3%	-	-	-	1.6	1.5	1.4
Banks	10.9	9.6	8.6	4.8%	5.3%	5.9%	-	-	-	1.5	1.4	1.3
Diversified Financials	13.2	11.1	9.7	2.8%	3.0%	3.3%	-	-	-	1.6	1.5	1.4
Insurance	12.5	11.6	10.9	4.9%	5.2%	5.6%	-	-	-	2.1	2.0	1.9
Real Estate	13.6	13.5	13.1	4.9%	5.1%	5.3%	-	-	-	0.7	0.7	0.7
IT	34.0	26.5	22.4	1.0%	1.1%	1.2%	20.8	16.0	13.0	6.3	5.7	4.9
Software and Services	19.8	17.2	14.8	1.7%	1.9%	2.1%	13.6	10.6	8.3	3.4	3.1	2.8
Technology Hardware	22.7	20.1	18.0	1.8%	1.9%	2.0%	12.4	11.7	10.6	2.9	2.8	2.6
Semicon & Semicon Equip	46.9	33.0	27.2	0.6%	0.7%	0.8%	30.5	21.9	18.2	12.5	10.5	8.4
Communication Services	16.2	14.1	12.8	3.6%	3.9%	4.2%	6.7	6.3	5.9	2.1	2.0	1.9
Utilities	16.2	15.1	14.1	3.9%	4.1%	4.3%	9.8	9.5	9.2	2.1	2.0	1.9

Source: IBES, MSCI, Datastream. As at COB 8th Jul, 2026.

Table 22: IBES Consensus P/E and 12-Month Forward Dividend Yields — Country Forecasts

Country	Index	P/E				Dividend Yield
		12mth Fwd	2026E	2027E	2028E	12mth Fwd
Austria	ATX	11.2	11.8	10.7	9.9	3.9%
Denmark	Denmark KFX	16.3	16.8	16.0	14.5	2.9%
Finland	MSCI Finland	19.3	20.6	18.5	16.7	3.0%
France	CAC 40	13.9	14.7	13.5	12.3	3.4%
Germany	DAX	14.4	15.9	13.7	12.0	3.0%
Greece	MSCI Greece	19.1	20.5	18.2	16.4	2.7%
Ireland	MSCI Ireland	12.7	13.6	12.0	10.6	3.4%
Italy	MSCI Italy	12.6	13.4	12.1	11.0	4.7%
Netherlands	AEX	17.0	18.0	16.2	14.6	2.2%
Norway	MSCI Norway	11.0	10.4	11.4	11.2	5.7%
Portugal	MSCI Portugal	13.6	13.8	13.5	12.7	3.9%
Spain	IBEX 35	13.9	14.8	13.2	12.1	3.7%
Sweden	OMX	17.2	18.1	16.6	15.3	3.2%
Switzerland	SMI	17.8	18.9	17.1	15.6	3.0%
United Kingdom	FTSE 100	12.3	12.9	11.9	11.0	3.5%
EMU	MSCI EMU	14.9	16.0	14.2	12.7	3.1%
Europe ex UK	MSCI Europe ex UK	15.7	16.7	15.0	13.5	3.1%
Europe	MSCI Europe	14.8	15.7	14.2	12.9	3.3%
United States	S&P 500	20.0	22.7	19.0	16.6	1.2%
Japan	Topix	16.3	16.9	15.2	13.7	2.2%
Emerging Market	MSCI EM	11.2	12.7	10.0	9.3	2.3%
Global	MSCI AC World	17.3	19.3	16.3	14.6	1.8%

Source: IBES, MSCI, Datastream. As at COB 8th Jul, 2026; **Japan refers to the period from March in the year stated to March in the following year-P/E post goodwill.

Economic, Interest Rate and Exchange Rate Outlook

Table 23: Economic Outlook in Summary

	Real GDP % oya			Real GDP						Consumer prices % oya			
	2025	2026E	2027E	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	4Q25	2Q26	4Q26	2Q27
United States	2.1	2.1	2.0	2.1	2.3	1.5	1.7	2.3	2.3	2.7	3.9	3.8	2.1
Eurozone	1.5	0.4	1.3	-0.9	0.5	1.0	1.3	1.3	1.5	2.1	3.0	3.0	2.0
United Kingdom	1.3	1.1	1.2	2.5	1.0	0.8	1.0	1.6	1.2	3.4	2.8	3.0	2.7
Japan	1.1	0.7	0.9	1.8	0.8	1.0	1.3	1.0	0.7	2.7	1.5	3.1	3.5
Emerging markets	4.2	4.0	3.7	4.9	3.6	3.3	3.4	3.9	3.9	2.8	3.5	3.5	2.9
Global	2.8	2.5	2.5	2.7	2.4	2.1	2.3	2.7	2.7	2.7	3.4	3.4	2.5

Source: J.P. Morgan Economic Research estimates, as of 8th Jul, 2026

Table 24: Official Rates Outlook

	Official interest rate	Current	Last change (bp)	Forecast next change (bp)	Forecast for			
					Sep 26	Dec 26	Mar 27	Jun 27
United States	Federal funds rate	3.75	10 Dec 25 (-25bp)	Sep 27 (+25bp)	3.75	3.75	3.75	3.75
Eurozone	Depo rate	2.25	6 Jun 26 (+25bp)	Sep 26 (+25bp)	2.50	2.50	2.50	2.50
United Kingdom	Bank Rate	3.75	7 Aug 25 (-25bp)	Nov 26 (+25bp)	3.75	4.00	4.00	4.00
Japan	Pol rate IOER	1.00	16 Jun 26 (+25bp)	Oct 26 (+25bp)	1.00	1.25	1.25	1.25

Source: J.P. Morgan estimates, Datastream, as of 8th Jul, 2026

Table 25: 10-Year Government Bond Yield Forecasts

10 Yr Govt BY	9-Jul-26	Forecast for end of				
		Sep 26	Dec 26	Mar 27	Jun 27	
US	4.58	4.65	4.70	4.75	4.75	
Euro Area	3.10	2.95	2.90	2.85	2.80	
United Kingdom	4.94	2.80	2.80	4.75	4.70	
Japan	2.88	2.95	2.95	2.95	3.05	

Source: J.P. Morgan estimates, Datastream, forecasts as of 8th Jul, 2026

Table 26: FX forecasts

Exchange rates vs US\$	8-Jul-26	Forecast for end of				
		Sep 26	Dec 26	Mar 27	Jun 27	
EUR	1.14	1.14	1.13	1.12	1.10	
GBP	1.34	1.30	1.27	1.29	1.28	
CHF	0.81	0.81	0.81	0.82	0.84	
JPY	163	160	164	164	164	
DXY	101.0	101.1	102.4	102.8	104.0	

Source: J.P. Morgan estimates, Datastream, forecasts as of 8th Jul, 2026

Sector, Regional and Asset Class Allocations

Table 27: J.P. Morgan Equity Strategy — European Sector Allocation

		MSCI Europe Weights	Allocation	Deviation	Recommendation
Energy		4.3%	4.0%	-0.3%	UW
Materials		5.3%	8.0%	2.7%	OW
	Chemicals				N
	Construction Materials				OW
	Metals & Mining				OW
Industrials		19.1%	21.0%	1.9%	OW
	Capital Goods				OW
	Transport				N
	Business Services				N
Consumer Discretionary		5.1%	8.0%	2.9%	OW
	Automobile				N
	Consumer Durables				OW
	Consumer Svcs				N
	Specialty Retail				N
	Internet Retail				N
Consumer Staples		8.6%	7.0%	-1.6%	UW
	Food & Drug Retailing				UW
	Beverages				UW
	Food & Tobacco				UW
	Household Products				UW
Healthcare		13.2%	12.0%	-1.2%	N
Financials		24.6%	22.0%	-2.6%	N
	Banks				N
	Insurance				UW
Real Estate		0.6%	1.0%	0.4%	N
Information Technology		9.8%	7.0%	-2.8%	N
	Software and Services				UW
	Technology Hardware				N
	Semicon & Semicon Equip				OW
Communication Services		4.4%	4.0%	-0.4%	N
	Telecommunication Services				N
	Media				UW
Utilities		4.9%	6.0%	1.1%	N
		100.0%	100.0%	0.0%	Balanced

Source: MSCI, Datastream, J.P. Morgan.

Table 28: J.P. Morgan Equity Strategy — Global Regional Allocation

	MSCI Weight	Allocation	Deviation	Recommendation
EM	12.2%	14.0%	1.8%	Overweight
DM	87.8%	86.0%	-1.8%	Underweight
US	73.3%	73.0%	-0.3%	Neutral
Japan	5.7%	6.0%	0.3%	Neutral
Eurozone	8.7%	11.0%	2.3%	Overweight
UK	3.5%	3.0%	-0.5%	Neutral
Others*	8.7%	7.0%	-1.7%	Underweight
	100.0%	100.0%	0.0%	Balanced

Source: MSCI, J.P. Morgan *Other includes Denmark, Switzerland, Australia, Canada, Hong Kong SAR, Sweden, Singapore, New Zealand, Israel and Norway

Table 29: J.P. Morgan Equity Strategy — European Regional Allocation

	MSCI Weight	Allocation	Deviation	Recommendation
Eurozone	54.5%	58.0%	3.5%	Overweight
United Kingdom	22.0%	21.0%	-1.0%	Neutral
Others**	23.5%	21.0%	-2.5%	Underweight
	100.0%			Balanced

Source: MSCI, J.P. Morgan **Other includes Denmark, Switzerland, Sweden and Norway

Table 30: J.P. Morgan Equity Strategy — Asset Class Allocation

	Benchmark weighting	Allocation	Deviation	Recommendation
Equities	60%	65%	5%	Overweight
Bonds	30%	30%	0%	Neutral
Cash	10%	5%	-5%	Underweight
	100%	100%	0%	Balanced

Source: MSCI, J.P. Morgan

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